

Industry ↴

930 Extractive Activities—Mining

930 Extractive Activities—Mining

10 Overall

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

930-10-05-1 The Extractive Activities—Mining Topic contains the following Subtopics:

- a. Overall
- b. Inventory
- c. Property, Plant, and Equipment
- d. Compensation—Retirement Benefits
- e. Business Combinations
- f. Consolidation.

930-10-05-2 This Subtopic provides overall guidance for extractive activities in the mining industry, including the identification of entities that fall within the scope of this Topic and definitions of industry terms.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

930-10-15-1 The Subtopics within the Extractive Activities—Mining Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Section of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

930-10-15-2 The Extractive Activities—Mining Topic provides guidance for all [mining entities](#), with specific entity exceptions noted below.

930-10-15-3 The guidance in this Topic does not apply to the following entities:

- a. Oil- and gas-producing entities. For guidance on these entities see Topic [932](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Mining Entities

Mining entities include entities involved in finding and removing wasting natural resources (other than oil- and gas-producing entities that are within the scope of Topic [932](#)).

930 Extractive Activities—Mining

330 Inventory

05 Overview and Background

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General

930-330-05-1 This Subtopic addresses the accounting for [stripping costs](#) incurred in the [production phase](#) of mining operations.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

930-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [930-10-15](#), with specific transaction exceptions noted below.

> Transactions

930-330-15-2 The guidance in this Subtopic does not apply to the following transactions:

- a. [Stripping costs](#) incurred before the [production phase](#).

20 Glossary

- General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Production Phase

The production phase of a mine is deemed to begin when saleable minerals are extracted (produced) from an ore body, regardless of the level of production. However, the production phase does not commence with the removal of de minimis saleable mineral material that occurs in conjunction with the removal of overburden or waste material for the purpose of obtaining access to an ore body.

Stripping Costs

Stripping costs are costs incurred for the removal of overburden or waste materials for the purpose of obtaining access to an ore body that will be commercially produced.

25 Recognition

- General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Production Phase Stripping Costs

- 930-330-25-1** **Stripping costs** incurred during the **production phase** of a mine are variable production costs that should be included in the costs of the inventory produced (that is, extracted) during the period that the stripping costs are incurred.

930 Extractive Activities—Mining

360 Property, Plant, and Equipment

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

930-360-05-1 This Subtopic addresses the accounting for [mineral rights](#).

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

930-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [930-10-15](#).

20 Glossary

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Mineral Rights

The legal right to explore, extract, and retain at least a portion of the benefits from mineral deposits.

Value Beyond Proven and Probable Reserves

Value beyond proven and probable reserves is the economic value that exists in a mining asset beyond the value attributable to proven and probable reserves. The distinction between the categories of reserves relates to the level of geological evidence and, therefore, confidence in the reserve estimates.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

930-360-25-1 Land that is not undergoing developmental activities necessary to get it ready for its intended use is not an asset that qualifies for interest capitalization. See paragraph [835-20-15-8](#) for interest capitalization.

930-360-25-2 If current costs are provided in accordance with Subtopic [255-10](#) the costs of mineral resource assets is determined by current market buying prices or by the current cost of finding and developing mineral reserves. See Section [255-10-50](#) for current cost accounting.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Asset Impairment

930-360-35-1 An entity shall include the cash flows associated with [value beyond proven and probable reserves](#) in estimates of future cash flows (both undiscounted and discounted) used for determining whether a mining asset is impaired under paragraphs [360-10-15-3 through 15-5](#). Estimated cash flows also shall include the estimated cash outflows required to develop and extract the value beyond proven and probable reserves.

930-360-35-2 An entity shall consider the effects of anticipated fluctuations in the market price of minerals when estimating future cash flows (both undiscounted and discounted) used for determining whether a mining asset is impaired under the Impairment or Disposal of Long-Lived Assets Subsections of Subtopic [360-10](#). Estimates of those effects shall be consistent with estimates of a market participant. Generally, an entity shall consider all available information including current prices, historical averages, and forward pricing curves. Those marketplace assumptions typically shall be consistent with an entity's operating plans and financial projections underlying other aspects of the impairment analysis (for example, amount and timing of production). It generally would be inappropriate for an entity to use a single factor, such as the current price or a historical average, as a surrogate for estimating future prices without considering other information that a market participant would consider.

930 Extractive Activities—Mining

715 Compensation—Retirement Benefits

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

930-715-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	930-715-45-1	Amended	Accounting Standards Update No. 2015-01	01/09/2015

05 Overview and Background

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General

- 930-715-05-1

This Subtopic addresses the accounting and reporting for postretirement health benefits for entities in the coal industry affected by the Coal Industry Retiree Health Benefit Act of 1992.
- 930-715-05-2

Current and projected operating deficits of certain benefit trusts established by the United Mine Workers of America and the Bituminous Coal Operators' Association, Inc. prompted the Coal Industry Retiree Health Benefit Act of 1992 (the Act). The Act creates a new multiemployer benefit plan called the United Mine Workers of America Combined Benefit Fund (the Combined Fund), which will provide medical and death benefits to all beneficiaries of certain earlier trusts who were actually receiving benefits as of July 20, 1992. In 1993, the Combined Fund began paying those beneficiaries their medical and death benefits. The Act provides for the assignment of beneficiaries to former employers and the allocation of any unassigned beneficiaries (referred to as orphans) to entities using a formula included in the legislation. The Act requires that responsibility for funding those payments be assigned to entities (or persons related to the entities) that had been signatories to a coal wage agreement. Under the act an entity's annual cost of benefits is based on the number of beneficiaries assigned to it plus a percentage of the cost of unassigned beneficiaries, which is a function of the number of orphans times the per-beneficiary premium.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

930-715-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [930-10-15](#), with specific entity qualifications noted below.

> Entities

930-715-15-2 This Subtopic only applies to entities with operations in the coal industry with a multiemployer pension obligation.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

930-715-25-1 Entities that currently have operations in the coal industry shall account for their obligation under the Act (as defined in Section [930-715-05](#)) either as participation in a multiemployer plan or a liability imposed by the Act. Entities that currently have operations in the coal industry that decide to account for their obligation as a liability and entities that no longer have operations in the coal industry shall account for their entire obligation under the Act as a loss in accordance with Subtopic [450-20](#).

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

930-715-45-1 If an entity accounts for its obligation under the Act as a loss (see paragraph [930-715-25-1](#)) in accordance with Subtopic [450-20](#), the estimated loss should be reported as an unusual or infrequently occurring item.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

930-715-50-1 An entity shall disclose the impact of the Act, including the estimated amount of its total obligation and the method of accounting adopted.

930 Extractive Activities—Mining 805 Business Combinations

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

930-805-05-1 This Subtopic addresses valuation of [mineral rights](#) in a business combination.

15 Scope and Scope Exceptions

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General

> Overall Guidance

930-805-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [930-10-15](#).

20 Glossary

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Mineral Rights

The legal right to explore, extract, and retain at least a portion of the benefits from mineral deposits.

Mining Assets

Mining assets include mineral properties and rights.

Probable Reserves

Probable reserves are reserves for which quantity and grade and/or quality are computed from information similar to that used for proven reserves, but the sites for inspection, sampling, and measurement are farther apart or are otherwise less adequately spaced. The degree of assurance, although lower than that for proven (measured) reserves, is high enough to assume continuity between points of observation.

Proven Reserves

Proven reserves are reserves for which both of the following conditions are met:

- a. Quantity is computed from dimensions revealed in outcrops, trenches, workings, or drill holes; grade and/or quality are computed from the results of detailed sampling.
- b. The sites for inspection, sampling, and measurement are spaced so closely and the geologic character is so well defined that size, shape, depth, and mineral content of reserves are well established.

Value Beyond Proven and Probable Reserves

Value beyond proven and probable reserves is the economic value that exists in a mining asset beyond the value attributable to proven and probable reserves. The distinction between the categories of reserves relates to the level of geological evidence and, therefore, confidence in the reserve estimates.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Value Beyond Proven and Probable Reserves

930-805-30-1 An entity shall include [value beyond proven and probable reserves](#) in the value allocated to [mining assets](#) in a purchase price allocation to the extent that a market participant would include value beyond [proven](#) and [probable reserves](#) in determining the fair value of the asset.

> Anticipated Future Price Fluctuations

930-805-30-2 An entity shall include the effects of anticipated fluctuations in the future market price of minerals in determining the fair value of mining assets in a purchase price allocation in a manner that is consistent with the expectations of marketplace participants. Generally, an entity should consider all available information including current prices, historical averages, and forward pricing curves. Those marketplace assumptions typically should be consistent with the acquiring entity's operating plans with respect to developing and producing minerals. It generally would be inappropriate for an entity to use a single factor, such as the current price or a historical average, as a surrogate for estimating future prices without considering other information that a market participant would consider.

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810 Consolidation

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 930-810-05-1** Proportionate consolidation is allowed in industries in which it has been industry practice. This Subtopic provides guidance on proportionate consolidation for the mining industry.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 930-810-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [930-10-15](#).

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains

Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Proportionate Consolidation

930-810-45-1 Paragraph [810-10-45-14](#) explains that a proportionate gross financial statement presentation is not appropriate for an investment in an unincorporated legal entity accounted for by the equity method of accounting unless the investee is in either the construction industry (see paragraph [910-810-45-1](#)) or an extractive industry (as discussed in this Topic and paragraph [932-810-45-1](#)). As indicated in that paragraph, an entity is in an extractive industry only if its activities are limited to the extraction of mineral resources (such as oil and gas exploration and production) and not if its activities involve related activities such as refining, marketing, or transporting extracted mineral resources.